

Chapter Review

1-6d Exercises

1.

Cost Principle

Obj. 2 - Describe generally accepted accounting principles, including the underlying assumptions and principles.

On February 22, Kountry Repair Service extended an offer of \$200,000 for land that had been priced for sale at \$250,000. On April 3, Kountry Repair accepted the seller's counteroffer of \$230,000 and bought the land for this amount. On September 15, the land was assessed at a value of \$185,000 for property tax purposes. On January 9 of the next year, Kountry Repair was offered \$300,000 for the land by a national retail chain. At what value should the land be recorded in Kountry Repair Service's records?

2.

Accounting Equation

Obj. 3 - State the accounting equation and define each element of the equation.

Dream-It LLC is a motivational consulting business. At the end of its accounting period, December 31, 20Y2, Dream-It has assets of \$780,000 and liabilities of \$150,000. Using the accounting equation, determine the following amounts:

- a. Stockholders' equity as of December 31, 20Y2.
- b. Stockholders' equity as of December 31, 20Y3, assuming that assets increased by \$90,000 and liabilities increased by \$25,000 during 20Y3.

3.

Transactions

Obj. 4 - Describe and illustrate how business transactions can be recorded in terms of the resulting change in the elements of the accounting equation.

Arrowhead Delivery Service is owned and operated by Gates Deeter. The following selected transactions were completed by Arrowhead Delivery during August:

1. Received cash in exchange for common stock, \$25,000.
2. Paid creditors on account, \$3,750.
3. Billed customers for delivery services on account, \$22,400.
4. Received cash from customers on account, \$11,300.
5. Paid dividends, \$6,000.

Indicate the effect of each transaction on the following accounting equation elements: Assets, Liabilities, Common Stock, Dividends, Revenue, and Expense. To illustrate, the answer to (1) follows:

(1) Asset (Cash) increases by \$25,000; Common Stock increases by \$25,000.

4.

Income Statement

Obj. 5 - Describe the financial statements of a corporation and explain how they interrelate.

The revenues and expenses of Ousel Travel Service for the year ended November 30, 20Y8, follow:

Fees earned	\$1,475,000
Office expense	320,000

Miscellaneous expense	28,000
Wages expense	885,000

Prepare an income statement for the year ended November 30, 20Y8.

5.

Statement of Stockholders' Equity

Obj. 5 - Describe the financial statements of a corporation and explain how they interrelate.

Using the income statement for Ousel Travel Service from [Exercise 4](#), prepare a statement of stockholders' equity for the year ended November 30, 20Y8. Shane Ousel invested an additional \$50,000 in the business in exchange for common stock during the year and cash dividends of \$30,000 were paid. As of December 1, 20Y7, common stock had a balance of \$100,000 and retained earnings had a balance of \$566,000.

6.

Balance Sheet

Obj. 5 - Describe the financial statements of a corporation and explain how they interrelate.

Using the following data for Ousel Travel Service as well as the statement of stockholders' equity from [Exercise 5](#), prepare a balance sheet as of November 30, 20Y8:

Accounts payable	\$ 62,500
Accounts receivable	186,000
Cash	308,000
Common stock	150,000

Land	480,000
Supplies	16,500

7.

Statement of Cash Flows

Obj. 5 - Describe the financial statements of a corporation and explain how they interrelate.

A summary of cash flows for Ousel Travel Service for the year ended November 30, 20Y8, follows:

Cash receipts:

Cash received from customers	\$1,465,000
Cash received from issuing common stock	50,000

Cash payments:

Cash paid for operating expenses	1,230,000
Cash paid for land	150,000
Cash paid for dividends	30,000

The cash balance as of December 1, 20Y7, was \$203,000.

Prepare a statement of cash flows for Ousel Travel Service for the year ended November 30, 20Y8.

8.

Ratio of Liabilities to Stockholders' Equity

Obj. 6 - Describe and illustrate the use of the ratio of liabilities to stockholders' equity in evaluating a company's financial condition.

The following data were taken from Mesa Company's balance sheet:

	Dec. 31, 20Y6	Dec. 31, 20Y5
Total liabilities	\$547,800	\$518,000
Total stockholders' equity	415,000	370,000

- a. Compute the ratio of liabilities to stockholders' equity.
- b. Has the creditor's risk increased or decreased from December 31, 20Y5, to December 31, 20Y6?